Candle Range Theory (CRT) — Beginner Guide

"The market speaks in candles… but only if you know how to listen."

📌 **Welcome to the CRT Beginner Guide**

This guide shows the **basics of CRT:** bias, key levels, timing, and simple setups.

It's just the beginning. Many insights remain hidden — **you will discover them by watching the market and observing patters for yourself.**

⚠️ Educational purposes only - no financial advice. Trade carefully and manage your risk.

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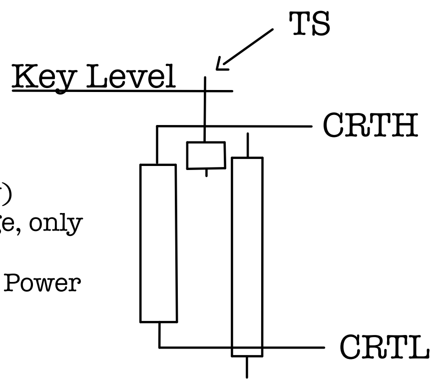
Understanding CRT



1. What is CRT?

- Each candle is its own defined range (High-Low)
- Price often reaches beyond one side of the range, only to move toward the opposite.
- Concepts behind CRT link directly to ICT ideas: Power of three, liquidity grabs, manipulation.

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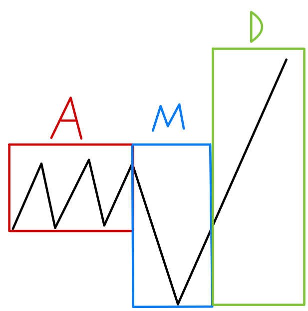
Power of 3, and what it has to do with CRT



2. What is ICTs PO3?

- AMD —> **Accumulation, Manipulation, Distribution**
- First candle —> Accumulate (Sets the range)
- Second candle —> Manipulate (Liquidity Grab)
- Third candle —> Distribute (Move to opposite side)
- CRT is essentially PO3 applied on a three candle sequence.

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Preparation for CRT

2. Bias

- Start with the **Daily / 4h.**
- Ask yourself: Which highs/ lows are respected? Which are broken?
- Bias is simply aligning with the side that's currently being defended.

3. Key Levels

- The second candle should interact with a meaningful level to support the reversal.
- Use PD arrays (OB, FVG, IFVG, Breaker, SMT etc.) and swing highs/ lows as reference points.
- If you don't recognize these arrays —> review SMC basics first
- If you are in the CRT Collective Discord —> Head to the SMC Channel

4. Time

- CRT forms often at **session opens**, when liquidity enters:

—> London Open (2-5 AM EST)
—> New York AM Session (8:30-11 AM EST)
—> New York PM Session (1-3 PM EST)

- On the H4, focus on **1am-5am-9am EST**

5. Turtle Soup (TS)

- When price sweeps a prior high/ low and reenters the range without closing above/ below.
- Candle 2 in CRT = the Turtle Soup = the false breakout.
- Visual Example on Page 1.

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Applying CRT

6. Basic CRT Setup Patterns

—> Bullish CRT
1. Identify a key H4 candle (at session time). Mark its high/ low.
2. Watch the next candle —> if it sweeps the low and closes back inside, CRT bias = bullish.
3. Drop to LTF, locate the OB.
4. Retest entry = target the opposite of the range.

—> Bearish CRT
1. Identify a key H4 candle (at session time). Mark its high/ low.
2. Watch the next candle —> if it sweeps the high and closes back inside, CRT bias = bearish.
3. Drop to LTF, locate the OB.
4. Retest entry = target the opposite of the range.

7. Timeframe alignment

- CRT works across all timeframes
- HTF defines range, LTF refines entry

- 1M <> 1D
- 1W <> 4h
- 1D <> 1h
- 4h <> 5Min/ 15Min
- 1h <> 1Min

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8. Final Note

CRT is about recognizing manipulation inside a candle sequence and positioning for the move to the opposite side.

- Correct **bias** + meaningful **key level** + correct **timing** = highest probability setups.
- Backtest CRT across multiple pairs, timeframes, and sessions before applying it live. Every market behaves differently.
- Journaling is essential: track time of day, key level interaction, and outcome. Over time, patterns become clear.
- This guide is for **educational purposes only** - no financial advice. Trade at your own risk, and always use risk management.
- The real edge is not the setup itself, but the consistency and discipline applying it.

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